WHEN SUPER TOP-UP SCORES OVER TOP-UP

SCENARIOS	BASE POLICY (₹4 lakh cover)	TOP-UP (₹10 lakh cover)*	SUPER TOP-UP (₹10 lakh cover)*
Claim: ₹3 lakh	Base policy pays	No claim, because the claim amount is below the deductible	No claim, because the claim amount is below the deductible
Claim: ₹5 lakh	Base policy pays the first ₹4 lakh	₹1 lakh is paid	₹1 lakh is paid
Claim 1: ₹5 lakh Claim 2: ₹3 lakh	The first claim of ₹4 lakh is paid. No payment for the second claim, as the policy has exhausted its ₹4 lakh limit	For the first claim, ₹1 lakh is paid. The second claim cannot be paid because the claim amount of ₹3 lakh is below the ₹4 lakh deductible	For the first claim, ₹1 lakh is paid. For the second claim, the policy will pay ₹3 lakh as the deductible for the year was reached with the first claim
Claim 1: ₹5 lakh Claim 2: ₹6 lakh	For the first claim, the full ₹4 lakh is paid. No payment for second claim, as the policy has exhausted limit	For the first claim, ₹1 lakh is paid. For the second claim, the policy will pay only ₹2 lakh (₹6 lakh less the ₹4 lakh deductible)	For the first claim, ₹1 lakh is paid. For the second claim, the policy will pay ₹6 lakh as the ₹4 lakh deductible is reached for the year. There is balance in super top-up

*(*Rs 4 lakh deductible)*

ceeding the Rs 3 lakh limit. In this way, a top-up cover works for large-value single claims. When the medical bill exceeds the deductible for a single hospital visit, the top-up plan covers the additional amount.

There is a flip side to this, especially if you need multiple claims in a year. So, if you incur a single hospitalisation bill of Rs 5 lakh with the same policy—Rs 3 lakh base and Rs 3 lakh deductible—the base policy would pay the first Rs 3 lakh, and the top-up would cover the remaining Rs 2 lakh. However, if the single bill was for Rs 2 lakh, the top-up does not apply.

Now, in case one runs up two claims in a year running into Rs 2 lakh and Rs 5 lakh respectively, the base plan will pay for the first claim and in the case of the second claim, the base policy, with its overall upper limit of Rs 3 lakh, will pay only the remaining Rs 1 lakh cover in the policy. The policyholder will pay the additional Rs 2 lakh from their own pocket, before the top-up kicks in and pays the remaining Rs 2 lakh. Now, the probability of multiple claims in a year may be low, but with increasing health issues, one wouldn't want to take chances.

TOP-UP POLICIES PROVIDE A FINANCIAL CUSHION AGAINST FREQUENT OR HIGH-VALUE HEALTH INSURANCE CLAIMS

Super top-up plans are useful to address financial burdens that may arise from multiple claims in a year. The fundamental difference is the way they look at the claim—top-up considers each claim individually, while the super top-up looks at the total claims in a particular year. This means that regardless of size, all claims are combined and, once the total amount exceeds the deductible, the super top-up plan begins paying.

For example, if your deductible is Rs 3 lakh and you have two claims in a year, one for Rs 1.5 lakh and another for Rs 2 lakh. The total comes to Rs 3.5 lakh, exceeding the Rs 3 lakh deductible, so the super top-up plan will pay the additional Rs 50,000. If the policyholder had only the top-up, she would have had to pay the Rs 50,000. The super top-up is a better choice, especially if you expect frequent hospitalisation and treatment.

Top-ups are especially handy when you have an employer-provided policy with low coverage. Also, if you have elderly parents, you will find policies for them have very high premiums. You could consider a top-up for them, with a base policy, to expand their coverage. The top-ups can increase the coverage at an affordable cost (relatively lower premiums) compared to a regular health insurance plan. ■

—Narayan Krishnamurthy